

## Chapter 34: Tides Of Conservatism

Jimmy Carter was 52, a native of Georgia and a nuclear engineer. He had a lack of Washington experience and this was seen. Vance as Secretary of State, and Brzezinski as assistant for national security assistant, Brzezinski went after the Russians at every chance, and Vance was moderate. Carter visited authoritarian nations, sold them arms, and saluted their leaders. Carter established full diplomatic relations with China in 1978 and increased soviet displeasure. Carter withdrew the SALT-II treaty boycotted the Olympics, imposed a grain embargo, and announced that the US would repel an attack on the Persian Gulf the once pacific Carter had raised defense budgets for 3 years in peace. Carter broke down “big government” and regulation of trucking and other industry, he appointed liberal, and instituted the first comprehensive civil service reform. The 1970s saw a 20% inflation rate. Energy shocks were abundant also, as oil was cut off for a short time, other means of energy were explored. The Reagan campaign drew strength from the imprisonment of hostages in Iran, allegedly, Reagan’s campaign leader had arranged for the hostages to be held until after the election, he won easily, and would have with or without a deal with Iran. Reaganomics had two bases, one that gov’t was the root of evil, and two that national problems would solve themselves with gov’t off their backs. “Supply side” economics argued that cutting top taxes would give the rich incentive to work, and invest. A trickle down theory, monetarism, and a tax cut rounded out the policy. High interest rates caused a collapse and unemployment rose to 11%. 1984 had Jesse Jackson as a possible black nominee, and Mondale chose Geraldine Ferraro as his running mate. Reagan won, and during his second term relations with Soviets went downhill, so bad that in 1983 the soviets shot down a Korean civilian plane with 269 on board, the didn’t know it was civilian, they claimed. The arms race continued, and the INF, START, and MBFR were the 3 categories. The SDI proposed a shield over the US to block incoming weapons, it was known as Star Wars and was entirely impossible. The US had an unofficial war against Nicaragua, it was part of the Reagan Doctrine which proposed shifting the US to the offensive, it used “covert actions” as a large part, and the Iran-Contra affairs were thus. During peace time the US deficit rose greatly to over 3 trillion in 1991. The Japanese helped to finance the US by buying treasury bonds. Savings and loans were not managed correctly, and the scandals of the Reagan era were as bad as Grant and Harding, Reaganomics made the rich richer and the poor poorer. The election of 1988 saw Bush and Quayle win over Dole, Dukakis, and Jackson. This election also saw the move to private money financing campaigns.

Jimmy Carter  
 Cyrus Vance  
 Zbigniew Brzezinski  
 Bureau of Human Services  
 SALT-II  
 Camp David Accords  
 Andrew Young  
 Bakke Case  
 Chappaquiddick  
 Reaganomics  
 “New Federalism”  
 Deregulation  
 MX missile  
 ABM Treaty of 1972  
 Contadora Peace Process  
 Gramm-Rudman Act of 1985  
 Tax Reform Act

How did Carter’s over-conservatism set the US up for failure in the Reagan administration?

“Carter’s foreign affairs were not his own, but the ideas of his advisors.” Defend or Oppose this statement based on the foreign affairs of the Carter administration.

How did Reaganomics and “New Federalism” differ from the “New Deal”?

Nicaragua was the stepping stone to Reagan’s secretive approach to going on the offensive.